

Briefing Note for Residents of The Courtyard for next Residents' Meeting

From Jonathan Pope, Company Secretary
2 June 2008

Some important matters have arisen since the last residents' meeting and I thought it would be helpful to report on these in advance of the next meeting, at which we can discuss them fully.

At the last residents' meeting it was agreed that **Liscombe Park Management Company Ltd (LPMC)** should remain dormant pending transfer of ownership of the communal areas from **Thameside Construction Ltd (TC)** when all conveyances had been completed. John Jeffers resigned as its Company Secretary and I was asked to take over from him. John subsequently also resigned as a director and signatory to the bank account. The other two directors, Ian Woodland and Ian Bickers, continued as directors.

Shortly after this Companies House wrote to require submission of the statutory annual return and accounts. In the course of sorting this out during February 2008, it became apparent that LPMC had not been correctly incorporated and registered with Companies House at the outset and that its constitution was not appropriate for the type of management company we require. The facts as far as we have been able to ascertain them are as follows.

In 2005/06 TC instructed its solicitor to create the company. As is common in such cases, the solicitor instructed **Jordans Limited** (company formation specialists) to incorporate and register a company and to provide its Memorandum and Articles of Association. Jordans have no record of a written instruction so probably this was instructed verbally. Jordans duly provided a redundant "shell" company as the basis for the incorporation and Memorandum and Articles in the name "**Poppyapex Property Services Limited**". Unfortunately neither TC's solicitor nor Jordans recognised that the constitutional form of this company was a "*Private Company Limited By Guarantee With No Share Capital*", whereas what is required in our case is a "*Private Company Limited By Shares With Share Capital*". The two are different in company law and not interchangeable. It also means that LPMC could not, in fact, issue shares to the residents even though it did so in 2007. The mistake was compounded by the fact that Companies House also did not recognise that this was the wrong form of company when they received the incorporation application and approved its registration, nor did they spot it during later communications with John Jeffers in 2007.

The company name was subsequently changed to **Rock Lane Farm Management Company Limited** and later to **Liscombe Park Management Company Limited** and a new set of Memorandum and Articles was approved by Companies House in early 2007. These changes did not however correct the original problem and it went un-noticed by all concerned until February 2008.

Having taken further advice from Companies House and Jordans, and consulted with Dave Harris at TC, the directors concluded that (a) it was necessary to dissolve LPMC and apply for it to be struck off the Companies House register and (b) a new company with the correct constitution and Memorandum and Articles of Association would need to be created and registered with Companies House. This was duly done in April/May 2008 and the new management company is **The Courtyard Management Company (Rock Lane Farm) Limited (CMC)**. Its company registration number is 6582924 and it was incorporated and registered on 2 May 2008. This will be the management company to which the ownership of the communal areas will be transferred by Dave Harris / TC.

CMC's directors are Ian Woodland and Ian Bickers and its company secretary is Jonathan Pope. The LPMC bank account has been closed and the balance of funds of £20.90 (comprising the 14 x £1 share subscriptions paid by each resident and accrued interest of £6.90) has been transferred to the new CMC bank account. It is intended that the share subscription money will be used to fund the issue of one £1 share in the new company to each resident in place of their share purchased erroneously in LPMC. The signatories to the new bank account are Ian Woodland, Ian Bickers and Jonathan Pope and two of the three signatures will be required on any cheque issued. We will be discussing how CMC's future work is to be funded from annual management charges payable by each resident and the estimated budget for 2008/09 at the residents meeting.

CMC will remain dormant until Dave Harris/TC is ready to transfer the ownership of the communal areas to it. We expect the legal discussions about this to commence shortly. There are therefore a range of matters, including the appointment of a solicitor to represent the management company, which we need to discuss at the next residents' meeting.

I shall be pleased to answer any questions arising from the above report at the meeting.